

Service Strategy

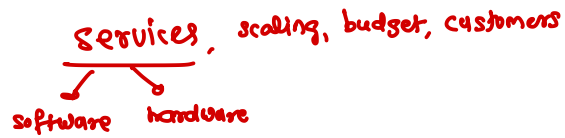


Service Strategy

- Service strategy is the core stage of the service lifecycle
- As its title suggests, the purpose is to define the strategic approach for service management across the whole lifecycle
- This includes understanding the business perspective, position, future plans, and activity patterns that a service provider needs in order to be able to deliver services that meet the business needs
- By understanding the business outcomes, we will be able to guide the focus for the whole service lifecycle



Objectives



- Providing an understanding of what strategy is
- Identifying the services and the customers who use them
- Understanding how to define value creation and delivery internal
external
- Providing the means to identify opportunities to provide services and how to make the best of them
- Delivering a comprehensive and clear service provision model, in which we identify how the services will be funded and presented, to whom they will be delivered, and the purpose that they will serve
- Understanding the organizational capability that will be required to deliver services according to the strategy
- Coordinating and documenting the use of service assets for providing services and how they can be used, including optimizing their performance
- Defining the processes and services that will deliver the strategic plans for IT service management and the level of investment that will be required
- Understanding the levels of demand and how to establish a relationship between the service provider and the customer



Setting Scope : What will be delivered?

- By defining the generic principles and process for service management, you can apply them to ensure the consistent management of IT services
- The definition is applicable for use by both internal and external service providers, and the Service Strategy publication provides guidance for both profit and nonprofit service providers for the consistent management of services
- Two aspects are covered by the guidance in service strategy
 - Defining a strategy that gives a service provider guidance and recommendations about delivering services to meet a customer's business outcomes
 - Defining a strategy for managing those services



Values Provided to Business

- The ability to link the activities carried out by the service provider to the business-critical outcomes that are required by internal or external customers. This will ensure that the service providers are seen to be contributing to the overall organizational value, not just being associated to cost generation
- The ability to understand the type and levels of service that will support the customers and their success and then to organize them in order to deliver those services. This will be managed by a process of defining strategies and services to ensure a repeatable, consistent approach to delivering valuable services to stakeholders
- The ability to respond to business change, quickly and efficiently, improving the competitive capability of the organization over time
- Guidance for creating and maintaining a service portfolio, which shows the overall capability of the service provision to deliver a positive return on investment for the business
- Support for the transparent communication between the service provider and the customer, ensuring both parties have a consistent understanding of the requirements and their mode of delivery
- The ability to understand how to organize so that the required services can be delivered in an effective and efficient manner



Assets



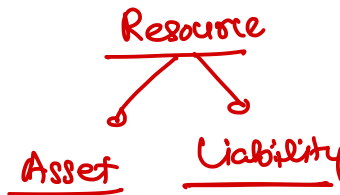
→ devices, human resources

→ Node app development, Administration

- Resources and capabilities are classed as assets of an organization
- All interactions between the service provider and customer are based on the use of assets, both those of the service provider and the customer
- Because many customers use the services provided to deliver services or products to their own customers, customer assets from the service provider perspective may be considered to be service assets by the customer
- However the assets are perceived, the performances of all assets are part of defining the value of a service
- ITIL provides us with these definitions for assets:
 - Asset: Any resource or capability
 - Customer asset: Any resource or capability used by a customer to achieve a business outcome
 - Service asset: Any resource or capability used by a service provider to deliver services to a customer
- There are two types of asset used by both service providers and customers: resources and capabilities. They are used to create value in the form of goods and services



- Resources are the direct inputs for the production of services
- These cover everything from money, infrastructure items, applications, people, and anything that could be used to assist in the delivery of a service
- They are often considered to be assets of an organization, and many will be classified under capital expenditure as a physical asset



- Capabilities are the assets that represent the organization's ability to do something to achieve value, such as the ability to coordinate, control, and deploy resources in the form of a service
- Typically these are knowledge or information based and include experience, which is embedded in the organization

Capabilities	Resources
Management	Financial capital
Organization	Infrastructure
Processes	Applications
Knowledge	Information
People (experience, skills and relationships)	People (number of employees)

Risk



Management of Risk

- In terms of risk management, the Service Strategy publication does not provide a comprehensive organization-wide approach but considers the basic risk management that is required by a project implementing an IT service management approach
- However, it is important to understand that any risk management approach that is adopted for IT should be complementary to the approach in place for the organization as a whole
- The corporate approach to risk identification, assessment, management, and mitigation must be enhanced by the IT service provider, not be in conflict with it



Identifying Risks

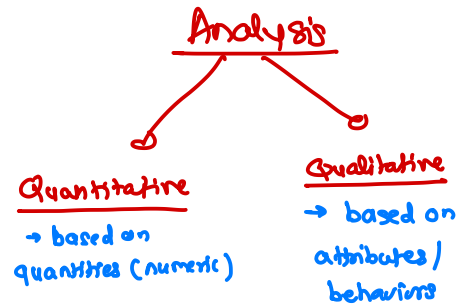
- This is where the risk is identified and named, which does not mean you have to immediately explain or quantify the risk, but it should be possible to capture what may impact the project or strategy that is under consideration
- Each identified or suspected risk should be documented, and the potential consequences of the risk captured should be part of the record
- A commonly used mechanism for capture is a risk register
- This is a centralized record of the risks that need to be managed
- It will be managed through the continual service improvement lifecycle stage



Analysis of Risks

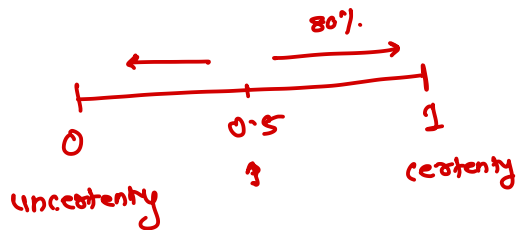
↳ understanding

- After initial identification and capture of potential consequence, it is possible to begin analyzing risk
- This is where we consider what the impact will be if the risk becomes a reality and the consequence takes place
- The majority of risk management methods use both a numeric and quality calibration and description for the risks
- It allows you to define the consequences in words, as well as an associated numeric value, so that a clear understanding can be achieved
- The quantitative value is used to calculate a ranking for the risk, while the qualitative statements and descriptions are used for the definition of how to deal with or manage the risk



Risk Management

- Risk management has its basis in probability approaches and theories and can be an extremely mathematical discipline
- Risk is the likelihood or potential for something to happen
- It is important to ensure that common sense is also applied
- A risk that has been identified with 100 percent probability is not a risk; it is a certainty
- This should be classified as an issue and be recorded and managed accordingly
- Similarly, a risk with a 0 percent probability can be removed from the risk register.



Service Strategy Process



Process of Service Strategy

- There are five processes within the service strategy lifecycle stage:
 - Strategy management for IT services
 - Service portfolio management
 - IT financial management
 - Demand management
 - Business relationship management



Strategy management for IT services

- Strategy management for IT services is the first process under ITIL service strategy
- The goal of strategy management is to ensure IT services and their management align with the organization
- During this stage, you will assess, define, and execute strategies for your service offerings
- **Assessment**
 - Evaluate the current market position of the business or service provider
 - What opportunities or constraints impact your services? Consider your service offerings, current and target customers, and your competitors' offerings
- **Definition** → *Scope*
 - Based on your assessment of the business and service climate, you can begin defining what goals your service provider should pursue, as well as identify and recommend services for different customer segments
- **Execution**
 - The final step is implementation. This step is all about planning your strategy for the successful execution of your strategic initiatives.



IT Financial Management

- IT Financial Management (also known as financial management for IT services) focuses on service valuation
- This process involves accounting, budgeting, and charging services so that the organization covers costs and generates profits for those services
- These three steps are known as the “ABCs” of Financial Management for IT Services
- **Accounting**
 - Accounting activities help you understand exactly what you’re spending on IT services
 - Accounting processes should be overseen by a trained accountant and include running cost-benefit analyses, organizing costs by category (e.g., hardware, software, staff, overhead, infrastructure), and keeping detailed records of spending
 - The purpose is to build an accurate picture of your costs so you can identify opportunities for cost savings and manage costs more efficiently



IT Financial Management

■ Budgeting

- An accurate budget is crucial for delivering IT services effectively and consistently
- IT budgeting calculates and allocates the funding needed to keep services running smoothly and support the business's overall IT service strategy
- The budget oversees three main IT spending categories:
 - Capital expenditures
 - Operational costs
 - Strategic investments
- Budget planning typically occurs once a year with regular monthly monitoring

■ Charging

- Charging covers the process for billing customers based on the services they use, which involves developing rates and a chargeback system that accounts for the cost and value of delivering each service



Service portfolio management

- Service portfolio management (SPM) monitors your services in the pipeline from start to finish
- The goal of SPM is to ensure each service aligns with your service management strategy and organizational objectives
- By monitoring your services end-to-end, you can more effectively justify service needs based on concrete business value
- A service portfolio has three parts:
 - Service catalog → list → current
 - Service pipeline → list → future
 - Retired services catalog → list expired / deprecated
- The service catalog is an overview of all the services you currently offer to customers
- Your service pipeline contains any services that are not yet visible to the customer (such as those that are in proposal or development stages)
- The pipeline also outlines projected service timelines and growth trajectories so you can understand the strategy and plans for each service



Service portfolio management

- The retired services catalog is essentially your services archived
- Any retired services are recorded here with relevant documentation for your records
- SPM follows each service through the pipeline from funding, design, and development to testing and deployment.
- There are four steps to basic SPM:
 - Define desired outcomes for a proposed service (or proposed changes to an existing service)
 - Analyze the impact this new or changed service will have on your other services in the portfolio. Identify any needed resources to offer the service
 - Approve a new service (or change) with a formal proposal and initiate the design stage following authorization
 - Charter services, communicate decisions, and allocate resources for successful service deployment
 - This process helps you make a business case for each service and answer questions like:
 - Why does a customer need this service?
 - What sets our service apart from competitors?
 - What are the strengths and weaknesses of this service?
 - How can we manage risk factors?



Demand management

- Demand management helps businesses understand, predict, and influence customer demand for their IT services
- Accurately understanding and adapting to service demand ensures businesses avoid inadequate or excessive service capacity—both of which impact costs and customer satisfaction
- Demand management typically involves three primary activities:
- **Analyzing**
 - Analyze current customer use of services by tracking service desk data (e.g., number of incidents, requests, and problems), as well as network usage and uptime
 - These data are called Patterns of Business Activity (PBA)
 - You can use PBA to measure components of customer service usage like:
 - Frequency
 - Volume
 - Duration
 - Location



Demand management

■ Anticipating

- Communicate with your customers about their forecasted needs, track trends and rely on your data analysis to make educated predictions about future service requirements

■ Influencing

- Businesses sometimes need to influence customer service consumption to mitigate risks and expenses
 - For example, if a customer exceeds their expected service usage, this can add significant costs for the business to meet that demand
 - You can influence demand through financial or technical means, such as network throttling or charging fees for exceeding usage limits
- Accurately predicting service demand is crucial for meeting SLAs, KPIs, quality standards, and budget constraints



Business relationship management

- Business relationship management (BRM) focuses on developing strong client relationships
- Relationship managers do this by optimizing the value of service delivery for the customer to ensure continued satisfaction and loyalty
- There are several processes for executing a successful BRM program:
 - Maintain customer relationships
 - Identify service requirements
 - Acquire new customers
 - Solicit customer satisfaction feedback
 - Handle complaints
 - Monitor complaints and incidents
- BRM plays an integrated role at each stage of the ITIL lifecycle, ensuring that customer questions, needs, and complaints are understood and addressed
- The ITIL Service Strategy Lifecycle guides many processes, roles, and best practices

